

2:00 PM

LINE 2

24-CIV-07133

GRACE COLLEEN DODD, ET AL. VS. THE ENSIGN GROUP, INC., ET AL.

GRACE COLLEEN DODD  
THE ENSIGN GROUP, INC.

LESLEY ANN CLEMENT  
JOHN L SUPPLE

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PLAINTIFFS' MOTION TO COMPEL DEPOSITION OF DEFENDANT THE ENSIGN GROUP, INC.'S PERSON MOST QUALIFIED RE: CHANGE OF OWNERSHIP, PRODUCTION OF DOCUMENTS; AND REQUEST FOR MONETARY SANCTIONS

**TENTATIVE RULING:**

Plaintiff Grace Colleen Dodd's motion for an order compelling Defendant The Ensign Group, Inc. (Ensign Group) to produce within 30 days its Person Most Qualified regarding Change of Ownership for deposition, pursuant to Plaintiffs' deposition notice, served on November 4, 2025, and to produce for inspection and copying all documents described in the deposition notice, under Code of Civil Procedure sections 2025.410, subdivisions (a), (b), and 2025.450(a), is GRANTED IN PART.

Defendants' objections to the declaration of Christopher Cherney are OVERRULED.

*A. Background*

The underlying action regards plaintiff's approximately two-month stay at defendants' care and treatment facility for rehabilitation following surgery for a broken right hip in the fall and winter of 2023. After undergoing subsequent surgeries following injuries sustained at defendants' facility, plaintiff passed away on May 26, 2024. (Comp. ¶¶70-79.)

Yet, plaintiff's theory of the case as shown by the allegations in the complaint and through this motion, including the declaration of Christopher Cherney appended to the Supplemental Declaration of Plaintiffs' Counsel Laraclay Parker filed August 28, 2026, is not simply that the defendants were negligent but that Ensign Group, as part of a corporate strategy, purchases nursing homes after conducting a financial analysis and then as they inform their investors achieve significant improvement quickly on key financial performance. (Comp. ¶ 25.)

The instant motion seeks an order compelling defendant Ensign Group (1) produce all responsive documents to the Requests detailed in the Notice of Motion and Separate Statement, (2) produce an appropriately qualified corporate representative for deposition within 30 days, and (3) issue monetary sanctions against Ensign in the amount of \$4,860 for plaintiffs' fees and costs in bringing this motion.

Defendant opposes the motion, contending that the subject matters and document requests in the PMQ Deposition seek information that is neither relevant nor reasonably calculated to lead to the

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discovery of admissible evidence because the underlying action is about the care and treatment decedent Plaintiff Dodd received at Pacifica from September 7, 2023 to November 27, 2023 – not about the decision to acquire Pacifica’s operations about seven months earlier, in February 2023. In contrast, the PMQ deposition seeks testimony from TEG on a vast array of subject matters related to the pre-acquisition internal financial analysis (what Defendants believe Plaintiffs are referencing as the “pro forma”) utilized to assess and strategize relative to the business decision of acquiring the operations of Pacifica. Plaintiffs also request the production of voluminous categories of documents related to those subject matters. Moreover, plaintiffs’ PMQ Deposition Notice, in its entirety, seeks testimony and documents on subject matters that significantly intrude upon defendants’ confidential and proprietary trade secrets, including some information that is subject to a confidentiality agreement with a third party, the disclosure of which would substantially compromise defendants’ market advantage.

*B. Legal Standard*

“[T]he discovery statutes vest a wide discretion on the trial court in granting or denying discovery.” (*Greyhound Corp. v. Superior Court In and For Merced County* (1961) 56 Cal.2d 355, 378 [superceded by statute].) “Unless otherwise limited by order of the court in accordance with this title, any party may obtain discovery regarding any matter, not privileged, that is relevant to the subject matter involved in the pending action or to the determination of any motion made in that action, if the matter either is itself admissible in evidence or appears reasonably calculated to lead to the discovery of admissible evidence. Discovery may relate to the claim or defense of the party seeking discovery or of any other party to the action. Discovery may be obtained of the identity and location of persons having knowledge of any discoverable matter, as well as of the existence, description, nature, custody, condition, and location of any document, electronically stored information, tangible thing, or land or other property.” (Code Civ. Proc., § 2017.010.)

With respect to taking the deposition of a person most qualified, “[a]ny party may obtain discovery within the scope delimited by Chapter 2 ..., by taking in California the oral deposition of any person, including any party to the action. The person deposed may be a natural person, an organization such as a public or private corporation, a partnership, an association, or a governmental agency.” (Code Civ. Proc. § 2025.010.)

The California Constitution expressly grants Californians a right to privacy. (Cal. Const., art. I, § 1.) “Protection of informational privacy is the provision’s central concern.” (*Williams v. Superior Court* (2017) 3 Cal.5th 531, 552 (*Williams*).) There is a legally recognized privacy interest in a person’s financial affairs. (*Fortunato v. Super. Ct.* (2003) 114 Cal.App.4th 475, 480; *Valley Bank of Nevada v. Super. Ct* (1975) 15 Cal.3d 652, 656-657 (*Valley Bank*).) The right of privacy, however, is not absolute (*Valley Bank, supra*, at p. 657.) The court must balance the right of privacy against the need for discovery. (*Williams, supra* at p. 552.) In general, the Supreme Court has established the following framework for evaluating potential invasions of privacy: the party asserting the privacy right must establish a legally protected privacy interest, an objectively reasonable expectation of privacy given the circumstances, and a threatened intrusion that is serious. (*Hill v. National Collegiate Athletic Assn.* (1994) 7 Cal.4th 1, 35.) The party seeking

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information may raise in response whatever legitimate and important countervailing interests disclosure serves, while the party seeking protection may identify feasible alternatives, or protective measures. A court must then balance these competing considerations. (*Id.* at pp. 37-40.)

When a discovery request implicates the constitutional right to privacy, the party seeking discovery of the private matter must do more than satisfy the relevance standard of Code of Civil Procedure section 2017.010. (*Williams, supra*, 3 Cal.5th at p. 556.) The more sensitive the nature of the personal information that is sought to be discovered, the more substantial the showing of the need for the discovery that will be required before disclosure will be permitted. While entities have rights, their rights are more limited than individuals. (*Roberts v. Gulf Oil Corp.* (1983) 147 Cal.App.3d 770, 797.)

### C. Discussion

#### PMQ Deposition

In the PMQ deposition at bar, Plaintiffs seek testimony from TEG on the following subject matters:

2. All terms of the lease of the land and structures from which Pacifica operates;
  3. All information and documents that were considered or exchanged prior to purchasing the facility;
  4. The circumstances by which TEG became aware that Pacifica was available for purchase;
  5. Whether there was any bid process for the purchase of Pacifica;
  6. The existence of any data rooms regarding a potential purchase of Pacifica or the setting of rent;
  7. The due diligence process for the purchase of Pacifica;
  8. The setting of rent for Pacifica from January 1, 2022 to present;
  9. All pro forms, models, or budgets utilized or created prior to or during the purchase of Pacifica, including all drafts;
  10. All historical data considered, reviewed, or obtained prior to or during the purchase of Pacifica;
  12. Any and all contracts, agreements, memorandums of understanding, and/or side letters memorializing any obligations between and among TEG and the lessor of Pacifica;
  13. Any agreements which subordinate TEG's interests or the other Defendants' interests to anyone else;
  14. Any agreements regarding the transfer of ownership of Pacifica;
  15. Any assumptions that were used in the setting of rent, the fixing of the purchase price, or the budgeting for Pacifica;
  16. Any method used to monitor whether Pacifica performed consistent with any assumptions, whether contained in a pro forma, model, budget, or otherwise;
  17. TEG's obligations under any and all purchase or lease agreements and any addendums, side letters, and/or memorandums of understanding thereto regarding Pacifica;
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21. Whether Pacifica is collateralized, scheduled, identified, or otherwise listed in any debt instruments.

Ensign Group argues that this PMQ deposition and related production of documents is an “unfounded and intrusive fishing expedition for information” because this case is about the care and treatment Ms. Dodd received at Pacifica from September 7, 2023 to November 27, 2023 – not about the decision to acquire Pacifica’s operations. (Opp. p.7-8.) However, the Court’s review of the second and third paragraphs in the complaint demonstrates a clear nexus between allegations of substandard care and profit-driven business decisions:

“Ensign’s investment-oriented and profit maximizing operational policies and practices required Pacifica and other facilities to minimize staffing and labor costs, making it often impossible to find two available staff to assist a single resident. As a result, Ms. Dodd rarely received the assistance she needed to keep her safe when she was transferred to or from her bed, wheelchair, or commode, and in her 81 days at Pacifica, Ms. Dodd suffered at least eight falls and developed pressure injuries to her buttocks/sacrum and left heel.” (Comp. ¶¶ 2&3.) An x-ray taken shortly after her discharge on November 27, 2023 revealed she had broken her other hip. (Comp. ¶ 3.)

The motion to compel provides evidence of this corporate policy and the Declaration of Cherney provides supporting evidence of the due diligence that occurs for a potential acquisition of a nursing home, which supports the requests..

Applying the framework established by the Supreme Court, the court after assessing plaintiff’s theory of the case finds information about the topics discoverable. While Ensign Group’s evidence of trade secrets and financial privacy is conclusory, the court acknowledges that these types of documents are usually considered private and thus the Court finds that, for this motion, Ensign Group has established the minimum necessary to show a legally protected privacy interest, an objectively reasonable expectation of privacy given the circumstances, and a threatened intrusion that is serious. Plaintiffs though have met their burden to show the legitimate and important countervailing interests disclosure serves. The corporate documents, in addition, to the public documents they have already obtained, are necessary for Plaintiffs to obtain facts, which they hope will demonstrate a corporate structure more concerned about profits than patient care. These facts, if proven, would show fraud, oppression and/or malice to justify punitive damages, and also knowing and intentional acts. Ensign Group points to publicly available information as the only alternative, but the court finds that plaintiffs are also entitled to the testimony of the PMQ deposition. In balancing these competing considerations, the court finds that the plaintiffs’ right to this information substantially outweighs the Ensign Group’s right to privacy. The testimony is directly relevant to key issues in the case.

Accordingly, plaintiffs’ motion to compel the PMQ deposition is GRANTED. However, thirty days from notice of entry of order for the deposition to occur may not be sufficient time for all documents to be produced to allow for a meaningful deposition. The parties are to meet-and-confer regarding a realistic date for the deposition, no longer than thirty days after the documents are produced absent an agreement by the parties for a different date.

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**Request for Production of Documents**

Plaintiffs also request the production of 34 categories of documents related to these subject matters. The court notes that plaintiffs agreed to withdraw subject matters 1, 11, 18, 19, 20 and document requests 9, 14, 15, 22, 24, 30, and 31 after post IDC meet and confer conversations. (Opp. p.5, fn. 2; Finn Decl. iso Opp. Ex. 8.)

Here, Defendant Ensign has refused to produce a single document. However, the court agrees the request for production of documents including information regarding twenty plus facilities is overly broad and limits the production to documents relating to the pre-acquisition internal analysis, and materials and information related to the diligence and underwriting processes with respect to the acquisition of Pacifica only. Accordingly, plaintiffs' motion to compel the deposition of the PMQ and production of documents is GRANTED IN PART. Ensign Group shall produce the documents on a rolling basis and, absent good cause, produce all responsive documents within sixty days from the notice of entry of order.

*D. Sanctions*

Sanctions are mandatory against any party, person, or attorney who unsuccessfully makes or opposes a motion to compel a further response unless other circumstances make the imposition of the sanction unjust. (Code Civ. Proc., §§ 2023.010, 2023.030, subd. (a), 2025.450 subdivision (g)(1), and 2025.480 subdivision(j).) The court finds that the imposition of sanctions would be unjust in this case. The parties have had meaningful meet-and-confer, including informal discovery conferences with the commissioner. For requests for financial information and "trade secrets," it is hard to fault a party from resisting production and having a court order production. Therefore for this motion, the court awards no sanctions.

If the tentative ruling is uncontested, it shall become the order of the Court. Thereafter, counsel for Plaintiff shall prepare for the Court's signature a written order consistent with the Court's ruling pursuant to California Rules of Court, rule 3.1312 and provide written notice of the ruling to all parties who have appeared in the action, as required by law and by the California Rules of Court.

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2:00 PM

LINE 3

24-CIV-07133

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GRACE COLLEEN DODD  
THE ENSIGN GROUP, INC.

LESLEY ANN CLEMENT  
JOHN L SUPPLE

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DEFENDANTS' MOTION FOR PROTECTIVE ORDER REGARDING PLAINTIFFS' NOTICE OF DEPOSITION OF THE ENSIGN GROUP, INC.'S PERSON MOST QUALIFIED RE: CHANGE OF OWNERSHIP AND REQUEST FOR PRODUCTION OF DOCUMENTS

**TENTATIVE RULING:**

Defendants The Ensign Group, Inc., Ensign Services, Inc., Flagstone Healthcare North LLC, and Mussel Rock Health Care Inc., d/b/a Pacifica Nursing & Rehabilitation Center (hereinafter Defendants) motion for a protective order related to plaintiffs' deposition of Defendants' Person Most Qualified (hereinafter PMQ) Re: Change of Ownership and Request for Production of Documents, pursuant to Code of Civil Procedure section 2025.420 is DENIED.

The instant motion is brought on the grounds that the PMQ deposition seeks testimony and documents on subject matters that are neither relevant nor reasonably calculated to lead to the discovery of admissible evidence and which significantly intrude upon Defendants' trade secrets. Moreover, there are far less intrusive means for plaintiffs to pursue and obtain the information and documents that they seek.

Plaintiff opposes the motion, contending that when defendants purchased Pacifica Nursing Center in 2023 and changed the business model the care provided to patients sharply declined because "Ensign looks for nursing homes where it can increase Medicare patients and impose its understaffing model to increase profits to its management staff, executive staff, and shareholders." (Opp. p. 3.) The deposition of the PMQ is directly relevant to Plaintiffs' elder abuse and corporate liability claims and defendant has failed to establish good cause for a protective order or substantiate its trade secret objections.

*A. Legal Standard*

For good cause shown, a court may order a protective order to limit the deposition of a party, deponent or other natural person or organization, including that trade secrets will not be disclosed. (Code Civ. Proc. § 2025.420.)

The court refers to the parties to its tentative ruling for the motion to compel for the background facts and the analysis. For the same reasons that the Court finds that the motion to compel is granted, the court denies the motion for protective order. The same limitations and deadlines stated in the motion to compel tentative ruling apply here.

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